

Foreign Exchange Policy Department

Bangladesh Bank
Head Office, Dhaka.

F.E. Circular No. 07

Srabon 30, 1413.
Date :-----
August 14, 2006.

All Authorized Dealers in Foreign Exchange.

Dear Sirs,

**Term lending in Taka to foreign owned/
controlled firms/companies in Bangladesh.**

In terms of paragraph 4, chapter 25 of the Guidelines for Foreign Exchange Transactions (GFET) Vol-1, grant of credit facilities to foreign owned or controlled firms/companies require approval of Bangladesh Bank; general authorization is accorded therein to banks for extending Taka working capital loans to foreign owned/controlled industrial and trading firms/companies operating in Bangladesh. To facilitate faster disposal also of term borrowing proposals, it has been decided that term loans in Taka for capacity expansion/BMRE of foreign owned/controlled industrial firms may henceforth be extended/renewed by banks without prior Bangladesh Bank approval provided that:

- a) the term loan in Taka does not exceed, as percentage of total term borrowing, the percentage of equity of the firm/company held by Bangladesh nationals and firms/companies not owned or controlled by foreigners, and
- b) total debt of the firm/company does not exceed the 50:50 debt equity ratio.

02. The prevailing credit norms and regulatory provisions regarding lending including single party exposure limits etc. will have to be duly complied with, and the term loan facilities extended will have to be reported post facto to General Manager, FEID, Bangladesh Bank, Head Office, Dhaka in pro forma prescribed at Appendix 5/76 of the GFET. Term borrowing proposals not conforming with the stipulations in the above paragraph may as before be forwarded to FEID, Bangladesh Bank, Head Office, Dhaka for consideration and specific decision.

03. Please inform all your concerned constituents accordingly, and meanwhile please acknowledge receipt.

Yours faithfully,

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(Md. Ahsan Ullah)
General Manager
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